

Oxford Cambridge and RSA – Practice Paper**AS Level Economics****H060/01 Microeconomics****Practice Paper 1 – Moderate**

Time allowed: 1 hour 30 minutes

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided.
- Answer **all** the questions in Section A and B and **one** question in Section C.

INFORMATION

- The total mark for this paper is **60**.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document has 20 pages.

ADVICE

- Read each question carefully before you start your answer.

SECTION A

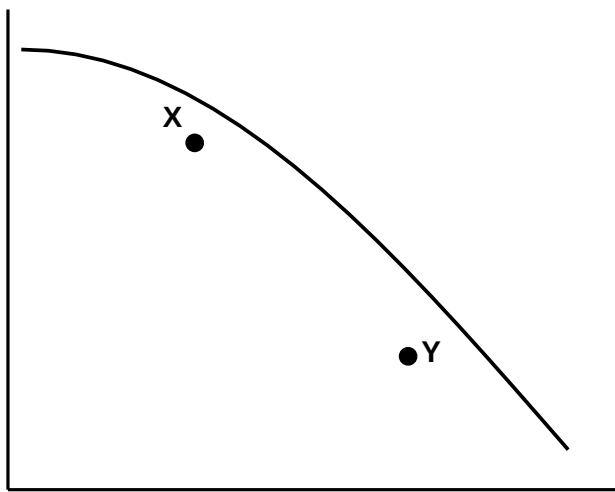
Write your answer to each question in the box provided.

1 Which is an example of a positive externality of beekeeping by a commercial honey producer?

- A** Higher honey prices for consumers
- B** Increased pollination of nearby apple orchards
- C** Noise from bees near a residential area
- D** Risk of stings to pedestrians

Your answer [] **[1]**

2 The diagram shows the production possibility curve for a country that produces electric cars and petrol cars. The economy is currently producing at point X.



Suppose the economy is at point X producing 800 electric cars and 1500 petrol cars. If it moves to point Y producing 1000 electric cars and 1200 petrol cars, what is the opportunity cost?

- A** 200 electric cars
- B** 300 petrol cars
- C** 1000 electric cars
- D** 1500 petrol cars

Your answer [] **[1]**

3 Which of these is an example of a normative statement?

- A** Electric vehicles produce zero exhaust emissions when driven
- B** The number of public charging points in the UK exceeds 50,000
- C** The government should provide larger subsidies for buyers of electric vehicles
- D** The price of lithium has risen by 30% over the last year

Your answer [] **[1]**

4 Which of these is the best example of a composite demand good?

- A** A bus ticket
- B** A loaf of bread

- C A textbook
- D Steel

Your answer [] [1]

5 In the market for electric vehicles, the equilibrium price has risen and the equilibrium quantity has fallen.

- A A fall in the price of lithium (a key input)
- B A reduction in government subsidies paid to EV producers
- C A rise in real consumer incomes
- D Improvements in battery production technology

Your answer [] [1]

6 Which of the following is **not** an example of an economic agent?

- A A car manufacturing firm
- B A household purchasing groceries
- C A trade union
- D The price of petrol

Your answer [] [1]

7 The table shows the quantity demanded and supplied of charging cables at different prices.

Price (£)	Quantity Demanded	Quantity Supplied
5	100	20
10	80	40
15	60	60
20	40	80
25	20	100

- A Excess demand of 40 units
- B Excess demand of 80 units
- C Excess supply of 40 units
- D Equilibrium with 80 units sold

Your answer [] [1]

8 Which is **not** a reward for a factor of production?

- A Interest
- B Profit
- C Subsidy
- D Wages

Your answer [] [1]

9 Which best describes a free good?

- A A good provided by the government at no charge
- B A good given away as part of a promotion
- C A good that requires no scarce resources to produce
- D A good with zero price elasticity of demand

Your answer [] [1]

10 The government introduces a maximum price for the rental of city-centre parking spaces below the equilibrium price. What is the most likely result?

- A** Demand for parking spaces will contract
- B** The number of parking spaces supplied for rent will fall
- C** There will be excess supply of parking spaces
- D** There will be no effect because the market will adjust

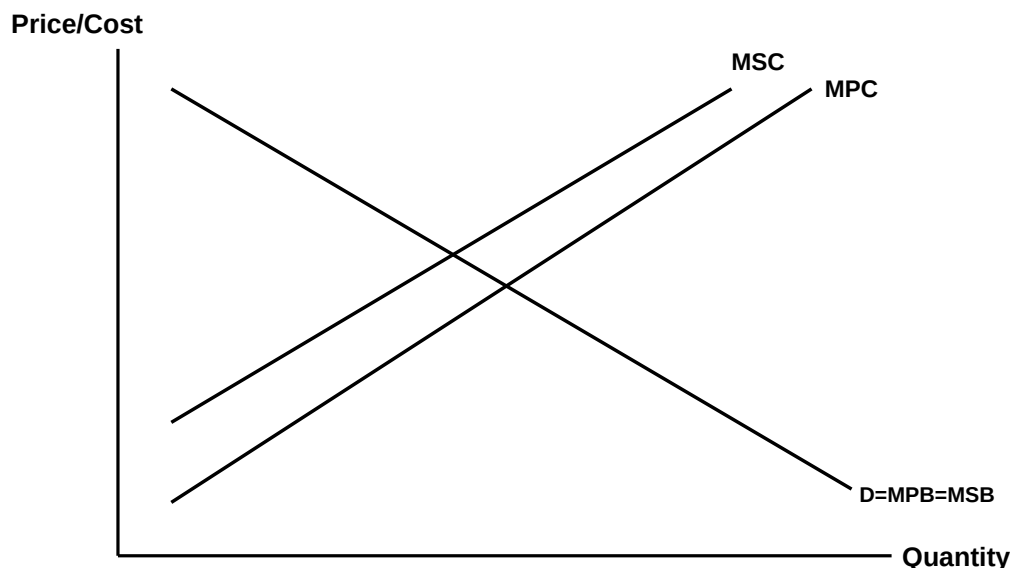
Your answer [] **[1]**

11 In a free market economy, which of the following determines what is produced?

- A** Central planning by the state
- B** Consumer preferences signalled through prices
- C** Government quotas for each industry
- D** Trade union negotiations

Your answer [] **[1]**

12 The diagram shows the private and social costs of producing electricity from coal.



- A** The social optimum output is greater than the free market output
- B** There is a welfare loss to society because the market over-produces
- C** MPC lies above MSC at every level of output
- D** The private cost equals the external cost at all levels of output

Your answer [] **[1]**

13 The price of a brand of electric car falls from £40,000 to £36,000. As a result, quantity demanded rises from 8,000 to 10,000 units per month.

- A** -0.4
- B** -1.0
- C** -2.5
- D** -4.0

Your answer [] **[1]**

14 Which is the most likely **disadvantage** of the division of labour in a car factory?

- A** Higher capital costs per worker
- B** Lower output per worker
- C** Workers may become bored due to repetitive tasks
- D** Workers require more general training

Your answer [] **[1]**

15 Which of the following is **not** a function of money?

- A** Medium of exchange
- B** Store of value
- C** Means of production
- D** Unit of account

Your answer [] **[1]**

SECTION B

The growth of the electric vehicle (EV) market

Sales of battery electric vehicles (BEVs) in the UK have grown rapidly. In 2018, around 15,000 new BEVs were registered. By 2023 this had risen to more than 315,000 units, supported by a combination of government grants, falling battery costs and growing environmental awareness among consumers.

The UK government has used several policy tools to encourage the take-up of EVs. These have included the Plug-in Car Grant (now ended), Vehicle Excise Duty exemptions, and direct subsidies to firms installing public charge points. Manufacturers have also reduced prices as production has expanded and economies of scale have been achieved.

EVs and petrol cars are widely considered substitutes. Research by an independent transport consultancy estimated that the cross elasticity of demand between EVs and petrol cars is +0.6. The same research estimated the income elasticity of demand for EVs at +2.4, while the price elasticity of demand for EVs was estimated at -1.3.

The expansion of EV sales has had effects beyond the car industry itself. Demand for lithium, cobalt and nickel, the key raw materials used in EV batteries, has risen sharply. Between 2020 and 2023 the price of lithium carbonate increased by approximately 290%, generating substantial windfall gains for mining firms in countries such as Australia and Chile. At the same time, traditional petrol-engine car manufacturers have faced falling demand and have begun restructuring their production lines.

Fig. 1: Reasons UK consumers gave for buying an electric vehicle (2023)

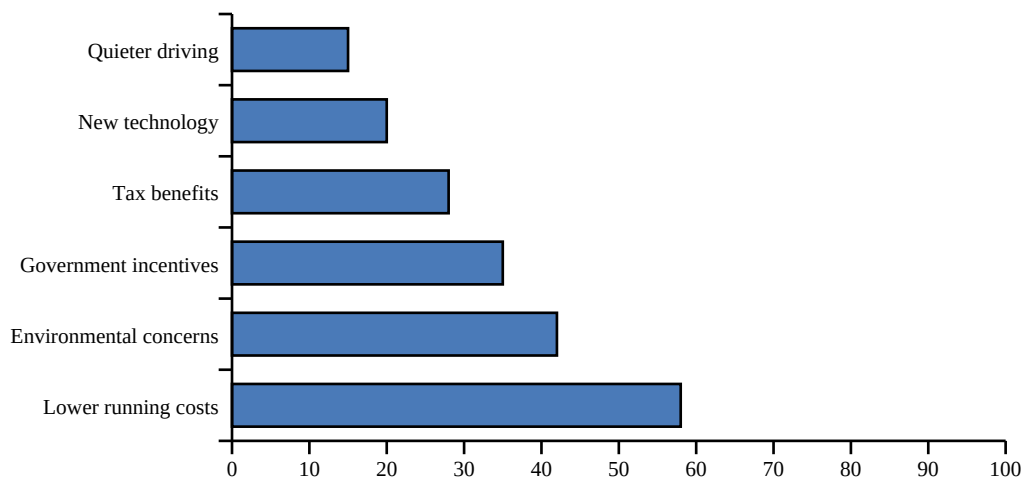
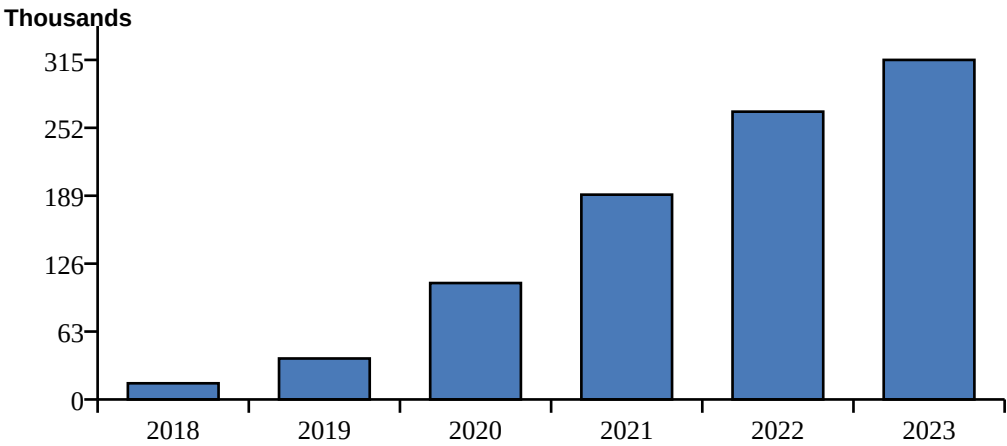


Fig. 2: New BEV registrations in the UK (thousands)



16 (a) Using Fig. 1, state what percentage of UK consumers gave 'environmental concerns' as a reason for buying an electric vehicle.

[1]

(b) (i) Using Fig. 2, calculate the percentage increase in new BEV registrations in the UK between 2018 and 2023.

[2]

(ii) Using the value of income elasticity of demand for EVs (line 12), explain how a fall in real incomes is likely to affect the demand for EVs.

[2]

(c) Using a demand and supply diagram, explain how a government subsidy paid to EV manufacturers is likely to affect the market for electric vehicles.

[4]

(d) (i) Using the value of cross elasticity of demand (line 11), explain the relationship between EVs and petrol cars.

[2]

(ii) Explain how the growth in demand for electric vehicles is likely to affect the producer surplus of firms producing lithium.

[4]

(e)* Evaluate, using an appropriate diagram(s), the effects on petrol car manufacturers of an increase in demand for electric vehicles.

[10]

[illegible]

Answer **Question 17** or **Question 18**.

OR

Question No. _____

[illegible]

[illegible]

[illegible]

END OF QUESTION PAPER